

Friendly Society ? Required Margin

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to a non-directive friendly society.

1.2

In this Part, the following definitions shall apply:

amount of claims paid

means, in relation to a financial year, the amount that is recorded in the firm's books at the end of the financial year as paid by it (whether or not payment has been effected in that year) in full or partial settlement of:

1. (1) claims including claims relating to business accounted for over a longer period than a financial year; and
2. (2) expenses (including legal or medical costs) which are incurred by the firm, whether through the employment of its own staff or otherwise, and are directly attributable to the settlement of individual claims, whether or not the individual claims in question are those mentioned in (1),

less any amounts recoverable by the firm in respect of the claims mentioned in (1) or other claims, including amounts recoverable from third parties and amounts recoverable from other insurance undertakings but excluding amounts recoverable in respect of reinsurance ceded by the firm.

capital at risk

means:

1. (1) in any case in which an amount is payable in consequence of death other than a case falling within (2), the amount payable on death; or
2. (2) in any case in which the benefit under the contract in question consists of the making, in consequence of death, of the payment of an annuity, payment of a sum by instalments or any other kind of periodic payments, the present value of that benefit,

less in either case the mathematical reserves in respect of the relevant contracts.

gross premiums

means, in respect of a financial year, premiums after deduction of discounts, refunds and rebates of premiums but before deduction of premiums for reinsurance ceded and before deduction of commission payable.

gross premiums earned

means, in respect of a _financial year_ , such proportion of _gross premiums_ receivable as is attributable to risk borne by the _firm_ during that _financial year_.

provision for claims outstanding

means, in respect of a _financial year_ , the amount set aside by the _firm_ as at the beginning or end of the _financial year_ as being an amount likely to be sufficient to meet:

1. (1) claims in respect of incidents occurring:

1. (a) in the case of an amount set aside as at the beginning of the _financial year_ , before the beginning of that year; and

2. (b) in the case of an amount set aside as at the end of a _financial year_ , before the end of that year,

2. being claims which have not been treated as claims paid and including claims relating to business accounted for over a longer period than a _financial year_ , claims the amounts of which have not been determined and claims arising out of incidents that have not been notified to the _firm_ ; and

3. (2) expenses (such as, for example, legal or medical costs) which are likely to be incurred by the _firm_ , whether through the employment of its own staff or otherwise and are directly attributable to the settlement of individual claims, whether or not the individual claims in question are those mentioned in (1),

less any _recoverable_ amounts estimated by the _firm_ to be _recoverable_ by it in respect of the claims mentioned in (1), including amounts _recoverable_ from third parties and amounts _recoverable_ from other _insurance undertakings_ but excluding amounts _recoverable_ in respect of _reinsurance_ ceded by the _firm_.

receivable

means such amounts as become due to a _firm_ , whether or not received (including, where appropriate, income which has accrued) in respect of _contracts of insurance_ incepted in the relevant period.

recoverable

means, in relation to a _financial year_ :

1. (1) for the purpose of a _provision for claims outstanding_ , amounts estimated by the _firm_ to be recorded in the _firm's_ books as due in that year; or

2. (2) otherwise, recorded in the _firm's_ books as due in that year, whether or not the _firm_ has received any payment.

reference period

means the three last preceding _financial years_.

2

Long-Term Insurance Business Margin of Solvency: Classes I and II

2.1

A _firm_ must calculate the _required margin of solvency_ in respect of _classes_ I and II as the aggregate of the results arrived at by applying the calculation described in 2.2 and the calculation described in 2.3.

2.2

A _firm_ must calculate the following:

1. (1) a sum equal to 4% of the mathematical reserves for direct insurance business and reinsurance acceptances without any deduction for reinsurance cessions;
2. (2) the amount of the mathematical reserves at the end of the last preceding financial year after the deduction of reinsurance cessions, expressed as a percentage of the amount of those mathematical reserves before any such deduction; and
3. (3) the sum mentioned in (1) must be multiplied:
 1. (a) where the percentage arrived at under (2) is greater than 85%, by that percentage; or
 2. (b) in any other case, by 85%.

2.3

A firm must calculate the following:

1. (1) subject to (4) and (5), a sum equal to 0.3% of the capital at risk for contracts on which the capital at risk is not a negative figure;
2. (2) the amount of the capital at risk at the end of the last preceding financial year for contracts on which the capital at risk is not a negative figure, after the deduction of reinsurance cessions, expressed as a percentage of the amount of that capital at risk before any such deduction; and
3. (3) the sum arrived at under (1) must be multiplied:
 1. (a) where the percentage arrived at under (2) is greater than 50%, by that greater percentage; or
 2. (b) in any other case, by 50%.
4. (4) Where a contract provides for benefits payable only on death within a specified period and:
 1. (a) is valid for a period of not more than three years from the date when the contract was first made, the percentage to be taken for the purposes of (1) must be 0.1%; or
 2. (b) is valid for a period of more than three years but not more than five years from the date when the contract was first made, the percentage to be taken for the purposes of (1) must be 0.15%.
5. (5) For the purposes of (4), the period of validity of the contract evidencing a group policy is the period from the date when the premium rates under the contract were last reviewed for which the premium rates are guaranteed.

2.4

A firm must calculate the amount of mathematical reserves referred to in 2.2(1) and the capital at risk referred to in 2.3(1) as at the day on which the required margin of solvency is determined.

2.5

For the purposes of calculating the capital at risk, a firm must calculate the mathematical reserves :

1. (1) in respect of 2.3(1), on the day on which the capital at risk is calculated; and
2. (2) in respect of 2.3(2), as at the last preceding financial year.

3

Long-Term Insurance Business Margin of Solvency: Classes III and VII

3.1

A firm must calculate the required margin of solvency in respect of classes III and VII in accordance with 3.2 to 3.4.

3.2

If and in so far as a _firm_ bears an investment risk, the calculation in 2.2 must be applied.

3.3

If and in so far as a _firm_ bears no investment risk and if the allocation to cover _management expenses_ in the relevant contract:

1. (1) has a fixed upper limit which is effective as a limit for a period exceeding five years, the calculation in 2.2 must be applied, but as if 2.2(1) contained a reference to 1% instead of 4%; or
2. (2) does not have a fixed upper limit which is effective as a limit for a period exceeding five years, the _required margin of solvency_ is an amount equivalent to 25% of the preceding _financial year's_ net administrative expenses pertaining to such business.

3.4

Where a _firm_ covers a death risk, a sum arrived at by applying the calculation in 2.3 (but excluding for these purposes 2.3(4) and (5)) must be added to the _required margin of solvency_ , including a _required margin of solvency_ of zero, arrived at under any of 3.2 and 3.3.

4

Long-Term Insurance Business Margin of Solvency: Class IV

4.1

A _firm_ must calculate the _required margin of solvency_ in respect of _class_ IV by applying the calculation in 2.2 plus the sum arrived at by applying Friendly Society ? Overall Resources and Guarantee Fund 3.1(2) as though it were _general insurance business class_ 2.

4.2

If both 4.1 and Friendly Society ? Overall Resources and Guarantee Fund 3.2(2) apply, a single combined _required margin of solvency_ must be calculated under Friendly Society ? Overall Resources and Guarantee Fund 3.2(2) in respect of the _class_ IV business and subsidiary provisions in _classes_ 1 and 2.

5

Long-Term Insurance Business Margin of Solvency: Class V

5.1

A _firm_ must calculate the _required margin of solvency_ in respect of _class_ V as 1% of the assets of the relevant _tontine_.

6

Long-Term Insurance Business Margin of Solvency: Class VI

6.1

A _firm_ must calculate the _required margin of solvency_ in respect of _class_ VI by applying the calculation in 2.2.

7

General Insurance Business Solvency Margin: Premiums Basis

7.1

A _firm_ must calculate a premiums basis solvency margin by:

1. (1) aggregating the _gross premiums receivable_ (or contributions, as the case may be) in respect of the _firm?s_ entire _general insurance business_ for the last preceding _financial year_ ; and
2. (2) aggregating the _gross premiums earned_ (or contributions, as the case may be) in respect of the _firm?s_ entire _general insurance business_ for the last preceding _financial year_ ,

and applying the calculation set out in 7.2 to 7.10.

7.2

From each of the aggregates arrived at under 7.1(1) and 7.1(2) a _firm_ must deduct:

1. (1) any taxes included in the _premiums;_ and
2. (2) any levies that are related to _premiums_ and are recorded in the _firm?s_ books as payable in the last preceding _financial year_ in respect of _general insurance business_.

7.3

A _firm_ must multiply the amount arrived at under 7.2 by twelve and divide by the number of _months_ in the _financial year_.

7.4

A _firm_ must calculate 18% of the amount arrived at under 7.3.

7.5

In the case of _general insurance business_ consisting of health insurance based on actuarial principles, 7.4 applies with the substitution of 6% for 18% if the following conditions are satisfied:

1. (1) the _gross premiums_ paid are calculated on the basis of sickness tables appropriate to _insurance business_ ;
2. (2) the reserves include provision for increasing age or, in the case of _class_ IV, either the reserves include provision for increasing age, or the business is conducted on a group basis;
3. (3) an additional _premium_ is collected in order to set up a safety margin of an appropriate amount;
4. (4) the contract does not allow the _firm_ to cancel the contract after the end of the third year of the contract; and
5. (5) the contract provides for the possibility of increasing _premiums_ or reducing payments during its currency.

7.6

Where 7.5 applies to a _firm_ whose _general insurance business_ consists partly of health insurance based on actuarial principles and partly of other business, the procedure provided in 7.1 to 7.5 must operate separately for each part of the _general insurance business_ , so as to produce a sum under 7.5 for the health insurance and a sum under 7.4 for the other business.

7.7

If the _provision for claims outstanding_ at:

1. (1) the end of the last preceding _financial year_ exceeds the _provision for claims outstanding_ at the beginning of the _financial year_ two years prior to the last preceding _financial year_ , then a _firm_ must add the amount of the excess to the _amount of claims paid_ in the three year period; and

2. (2) the beginning of the _financial year_ two years prior to the _financial year_ in question exceeds the _provision for claims outstanding_ at the end of the _financial year_ in question, then a _firm_ must deduct the amount of the excess from the _amount of claims paid_ in the three year period.

7.8

From the amount determined under 7.7(1) or (2), a _firm_ must deduct the total sum _recoverable_ in respect of that amount under _reinsurance_ contracts ceded during the relevant period.

7.9

A _firm_ must express the amount determined under 7.8 as a percentage of the amount determined under 7.7(1) or (2).

7.10

A _firm_ must multiply the sum arrived at under 7.4 or 7.5, or the aggregate of the sums arrived at under 7.4 and 7.5, as the case may be:

1. (1) where the percentage arrived at under 7.9 is greater than 50% but not greater than 100%, by the percentage so arrived at;
2. (2) where the percentage arrived at under 7.9 is greater than 100%, by 100%; and
3. (3) in any other case, by 50%.

8

General Insurance Business Solvency Margin: Claims Basis

8.1

This Chapter does not apply to a _firm_ that has not been in existence long enough to acquire a _reference period_.

8.2

A _firm_ must calculate a claims basis solvency margin by applying the calculation in 8.3 to 8.9.

8.3

If the provision for claims outstanding at:

1. (1) the end of the _reference period_ exceeds the provision for claims outstanding at the beginning of the _reference period_, a _firm_ must add the amount of the excess to the _amount of claims paid_ in the _reference period_; or
2. (2) the beginning of the _reference period_ exceeds the provision for claims outstanding at the end of the _reference period_, a _firm_ must deduct the amount of the excess from the _amount of claims paid_ in the _reference period_,

where for the purposes of this Chapter, the definitions of _amount of claims paid_ and _provision for claims outstanding_ must be read so as to refer to a _reference period_ rather than a _financial year_.

8.4

A _firm_ must divide the aggregate obtained under 8.3(1) or (2) by the number of _months_ in the _reference period_ and multiply by twelve.

8.5

A _firm_ must calculate 26% of the amount arrived at under 8.4.

8.6

In the case of _general insurance business_ consisting of health insurance based on actuarial principles, 8.5 applies with the substitution of 8.66% for 26% if the conditions in 7.5(1) to (5) are satisfied.

8.7

Where 8.6 applies to a _firm_ whose _general insurance business_ consists partly of health insurance based on actuarial principles and partly of other business, 8.2 to 8.6 must operate separately for each part of the _general insurance business_, so as to produce a sum under 8.6 for the health insurance and a sum under 8.5 for the other business.

8.8

A _firm_ must multiply the sum arrived at under 8.6 or 8.7, or the aggregate of the sums arrived at under 8.6 and 8.7, by the same percentage as is applicable for the purposes of 7.10.